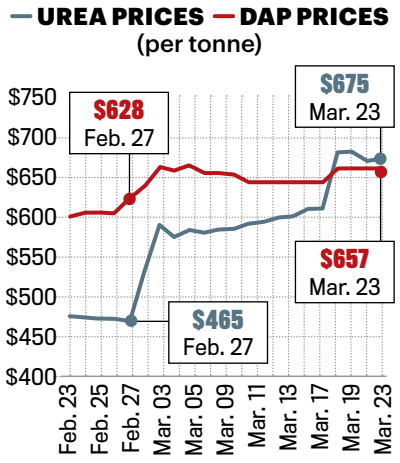
₹1.86 LAKH CRORE

India's fertiliser subsidy bill in FY26, already 11 per cent higher than budgeted

RISING COSTS

Fertiliser prices have surged in global markets amid disruptions triggered by the Iran war

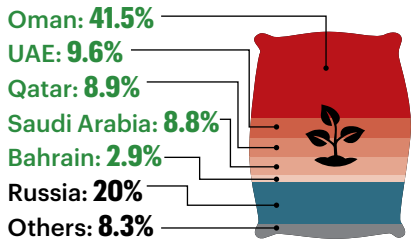


Source: tradingeconomics.com

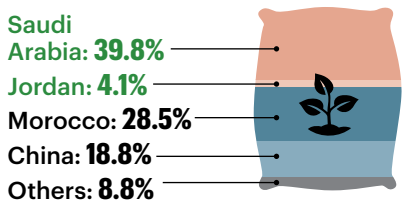
SUPPLY SQUEEZE

Indian farmers remain highly dependent on fertiliser imports from the Middle East

Country-wise share of India's urea imports in 2024 (by value)



Country-wise share of India's DAP imports in 2024 (by value)



Source: World Integrated Trade Solution

THE IMPACT

- Fertiliser and freight costs have climbed, raising input costs for farmers
- Supply squeeze could disrupt Kharif sowing, forcing shifts in crop choices
- Lower output and higher costs may push up food prices in coming months

can therefore constrain domestic urea output, even when capacity appears sufficient. Early signals are visible: global fertiliser prices have risen 30–40 per cent, with urea crossing $650 (Rs 60,500) per tonne. Freight and insurance costs have risen, pushing up the landed price, i.e. the total cost of imports on reaching the Indian ports, even as export restrictions from countries such as China tighten global supply further.

For now, India has a cushion. Fertiliser stocks remain comfortable, with urea estimated at over 6 MT and DAP (Diammonium Phosphate) close to 2.5 MT, both above last year's levels. But the system is likely to operate with a lag. March and April serve as a buffer between the Rabi harvest and Kharif sowing. If fresh imports are delayed, pressure could begin to build by May. By June–July, at peak Kharif demand, shortages may start to surface. Farmers could respond by cutting fertiliser use or shifting cropping patterns, raising yield risks—especially for paddy and maize. At the same time, fertilisers such as DAP and NPK, which are less tightly subsidised than urea, would remain exposed to global prices, amplifying cost pressures at the farm level.

This is where the risks could converge. Weather-related disruptions to the Rabi harvest may coincide with input-side stress for the Kharif crop. A combination of lower output and higher input costs could tighten food supply and push up prices.

What is being done

The government has moved to contain the risk. On March 22, Prime Minister Narendra Modi chaired a high-level review with key ministers, where fertilisers were identified as a "critical second-order concern". The immediate focus is on continuity—ensuring supplies remain uninterrupted ahead of Kharif.

Import tenders have been advanced, and shipments are being closely monitored. Alternative sourcing from Russia, Belarus and Morocco is being explored to offset dependence on the Gulf. At the same time, gas allocation is being prioritised for fertiliser plants to sustain domestic urea production.

"UREA DISTRIBUTION SHOULD BE REWORKED. IT CAN BE CURTAILED IN STATES WHERE USAGE EXCEEDS RECOMMENDED LEVELS, SUCH AS RAJASTHAN, PUNJAB AND HARYANA, AND REDIRECTED TO THOSE THAT NEED IT"

— SIRAJ HUSSAIN
Former Union Agriculture Secretary

What more needs to be done

The response addresses the immediate risk, but structural exposure remains. Fertiliser imports and energy inputs are both tied to the Middle East, much of it routed through the Strait of Hormuz. A disruption lasting beyond eight weeks from mid-March pushes India into a risk zone. Expanding sourcing beyond the Middle East and strengthening domestic production capacity are critical to reducing vulnerability.

There is also a fiscal risk to manage. India's fertiliser subsidy is already high, revised to Rs 1.86 lakh crore in FY26. If global prices keep rising, the government faces a choice: absorb the shock and expand the subsidy bill, or pass costs to farmers—risking a squeeze on already thin margins. ■